

THREAT OF BEING FIRED:
CAN WE SELECT GOOD LEADERS AND
INCENTIVIZE THEM?



WHAT MAKES A GOOD LEADER, AND WHY MIGHT SOMEONE WANT TO LEAD?

- ▶ Why would someone want to be a leader?
- ▶ What qualities would groups want their leaders to possess?
- ▶ What actions would groups want the leaders to take on their behalf?

WHY WOULD SOMEONE WANT TO BE A LEADER?

- ▶ Salary and office perks (Air Force One?)
- ▶ Psychological benefits from prestige and power
- ▶ Rents from having power to shape policy

Office benefits: The overall benefits from being in power

WHAT LEADER QUALITIES MIGHT GROUPS VALUE?

- ▶ Ability/competence/intelligence
- ▶ Preferences/policy positions/normative goals
- ▶ Experience/expertise/knowledge
- ▶ A degree from the Harris School?

Selection problem: How to select leaders with desired qualities?

WHAT ACTIONS BY THE LEADER MIGHT THE GROUP VALUE?

- ▶ Effort/hard working
- ▶ Non-corrupt behavior
- ▶ Non-abusing behavior
- ▶ Policy position of the group

Accountability problem: How to hold leaders accountable for their actions?

ROADMAP

Last week: Leaders' incentive is to shape policies that favor themselves and those with the power to fire them (subset of Selectorate)

Today: We study the ability of this group to

- ▶ Induce the leader to work hard on their behalf
- ▶ Select the leaders they like

Under what conditions can they do that?

HOW MUCH CAN GROUP MEMBERS AFFECT LEADER'S BEHAVIOR?

Complicated problem (many desirable qualities, many desirable actions, many people decide on whether to keep the leader)

Game theory to the rescue: simplify

Selectorate of size 1 (Citizen)

Leader can work hard or not

Leader can be of desirable quality or not

Citizen

- ▶ Wants the leader to work hard
- ▶ Wants the leader to have desirable quality

OUTLINE

ACCOUNTABILITY: CAN GROUPS INCENTIVIZE LEADERS' GOOD BEHAVIOR?

ACCOUNTABILITY AND SELECTION: CAN GROUPS SIMULTANEOUSLY SELECT GOOD TYPES AND INCENTIVIZE GOOD BEHAVIOR BY LEADERS?

PLAYERS, STRATEGIES, TIMING, AND PAYOFFS

Players: a single citizen, an incumbent, and a challenger

Strategies and timing:

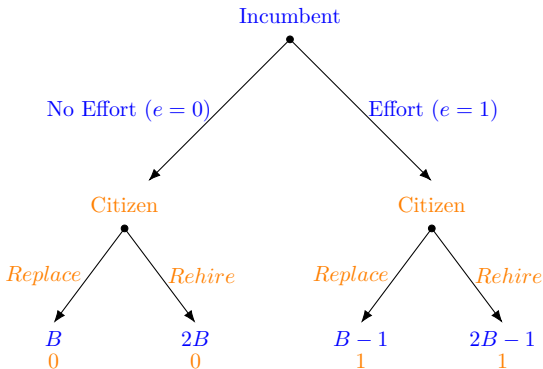
- ▶ In the first period, the incumbent can exert effort ($e = 1$) or no effort ($e = 0$)
- ▶ After observing the incumbent leader's level of effort the citizen can *rehire* her, or *replace* her with the challenger
- ▶ In the second period, no one exerts effort

Payoffs:

- ▶ The leader gets a benefit (B) for each period in office and pays a cost (e) for exerting effort
- ▶ The citizen's payoff is the effort exerted by the incumbent in the first period (e)

CAN THE CITIZEN INCENTIVIZE THE LEADER TO EXERT EFFORT ON HER BEHALF?

For what values of B is the following strategy profile an equilibrium ((Replace if no effort, Rehire if effort); Effort)?



THE THREAT OF BEING FIRED MAY INDUCE THE LEADER TO EXERT EFFORT

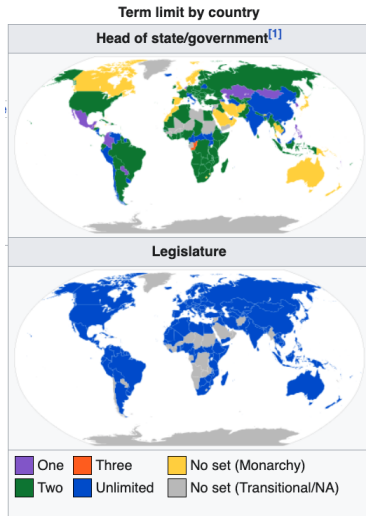
When office benefits are sufficiently high ($B > 1$), there exists an equilibrium where the threat of being fired induces incumbent to exert effort on behalf of the citizen

Office benefits are important for accountability to work

There are also equilibria in which the citizen does not reward effort, and the incumbent does not exert effort (recall political coordination problems discussed in AP1)

DO TERM LIMITS AFFECT CITIZENS' ABILITY TO INCENTIVIZE LEADERS?

Discuss how term limits may affect citizens' ability to incentivize effort by leaders



Hall (2015)

EMPIRICAL EVIDENCE: POLITICIANS ARE LESS PRODUCTIVE WHEN THEY GET TERMED OUT

US state legislators become less productive when they can no longer run for reelection

It may be a good idea to allow them to be constantly exposed to prospects of reelection

TABLE 2. Effect of Electoral Incentives on Legislator Productivity

	Legislative productivity index	
	(1)	(2)
Term limited	-0.24 (0.03)	-0.24 (0.03)
<i>N</i>	11,109	11,109
Legislators	4,642	4,642
Outcome mean	0.00	0.00
Standard dev.	1.00	1.00
Legislator FE	Yes	Yes
Chamber-year FE	Yes	
Chamber-party-year FE		Yes

Note: In their final term, term-limited legislators are less productive. In all columns, the outcome variable is the first principal component from a PCA of the three measures of effort. The unit of observation is a legislator. The variable Term limited is a dummy variable indicating whether a legislator is in her final, term-limited term. Robust standard errors clustered by legislator in parentheses.

Fourirnaies & Hall (2022)

TAKING STOCK

By promising to re-hire leaders who take desirable actions and to fire those who take undesirable actions selectorate **may keep leaders accountable**

Accountability is more likely to work if

- ▶ Office benefits are high
- ▶ Leaders can be fired or re-hired (no term limits)

LIMITS TO ACCOUNTABILITY: OBSERVABILITY OF ACTIONS

We assumed citizen can perfectly monitor actions of the leader

If citizen cannot perfectly observe the incumbent's effort, would this induce the incumbent to exert more or less effort?

OBSERVABILITY HELPS ACCOUNTABILITY

Observability of leader's behavior helps accountability:

- ▶ Example: If citizens cannot observe corruption, a politician might be tempted to engage in corrupt behavior

In some settings, it is reasonable to think that the group is well informed about the actions of their leader

- ▶ Example: central committee delegating to party leader

In other settings, it is unlikely that the the group are well informed about all the actions of their leader

- ▶ Example: voters delegating power to a president

TAKING STOCK

Improving information about leader's actions improves accountability

There is a tradeoff between small and informed winning coalition and large and less informed winning coalition

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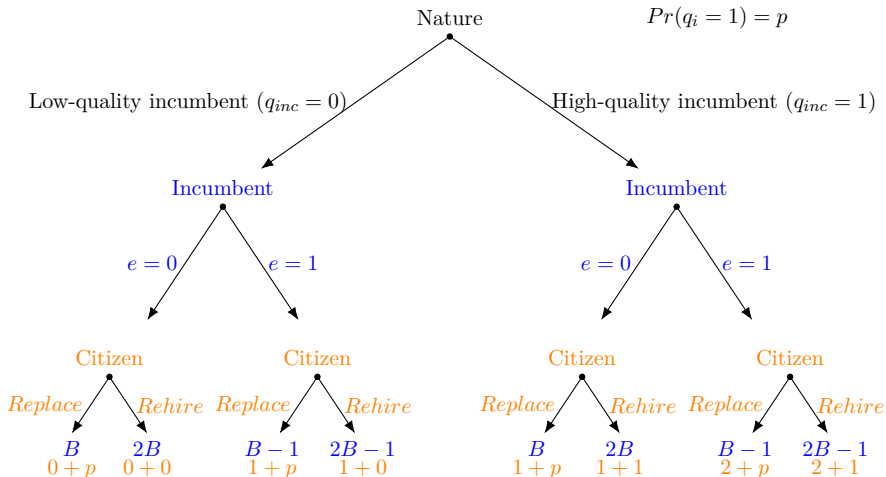
LET'S ADD LEADER QUALITY TO THE ACCOUNTABILITY SITUATION

Suppose that there are only two types of leaders: low quality ($q = 0$) and high quality ($q = 1$)

In the pool of potential leaders, the share of high quality leaders is p and the share of low quality leaders is $1 - p$

The citizen gets an additional benefit $q = 1$ if the leader is high quality, and $q = 0$ otherwise

CAN THE CITIZEN BOTH SELECT GOOD TYPES
AND INCENTIVIZE GOOD BEHAVIOR?



DIFFICULT TO BOTH SELECT GOOD LEADERS AND INCENTIVIZE THEM TO BEHAVE WELL

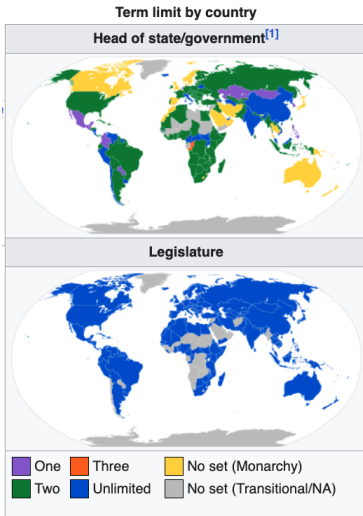
Citizens cannot credibly commit to rehiring low quality leaders who exert effort and firing high quality leaders who don't

Anticipating this, both low and high quality incumbents have no incentives to exert effort

It's hard to both incentivize good actions and select good types

DO TERM LIMITS AFFECT CITIZENS' ABILITY TO SELECT LEADERS?

Discuss how term limits may affect citizens' ability to select leader with desired qualities



KEY TAKE AWAYS

Threat of firing can incentivize leaders to take good actions if

- ▶ Leaders care about not being fired
- ▶ Leaders are able to stay in power
- ▶ Selectorate can monitor leaders' behavior

It is hard to

- ▶ Always select the best leader
- ▶ Incentivize leaders to take good actions

Policymaking is unlikely to be perfect

KEY TAKE AWAYS

If you are a policy maker reforming the leader selection process:

- ▶ Make sure benefits of office are sufficiently high
- ▶ Improve observability of leaders' actions
- ▶ Understand trade off between terms limits and accountability and selection

Next time: When members of the selectorate disagree on policy, who will leaders favor and include in their winning coalitions?